BLACKSTONE DIG INFRAS -REDH BXDC

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by ka8104

			2026	2027
Price:	21.50	EPS	1.33	1.62
Shares Out. (in M):	100	P/E	16.2	13.3
Market Cap (in $M):	2,150	P/FCF	16.2	13.3
Net Debt (in $M):	0	EBIT	215	555
TEV (in $M):	2,150	TEV/EBIT	6.3%	5.5%

Description

Thesis: compelling risk / reward in new REIT subsector; investing with top global investor as first mover to create a potentially very large company with cost of capital / equity currency / deal flow advantages; flywheel: become biggest / best buyer of assets = REIT market rewards with NAV premium and cost of capital advantage to supercharge accretive growth; playbook: give the REIT market a sleep at night yield + growth play and over time becomes a must own for REIT dedicated investors and eventually a meaningful index member

Background:

- Blackstone raised ~$2B equity in blind pool IPO to purchase highest quality (assets, location and tenants) triple-net leased data centers with goal to build among the biggest REITs in the market; effectively creating a pure-play takeout vehicle for best assets at stabilization phase with limited/no development, lease-up, power, or operating risk
- Blind pool raise chosen for speed to market and first mover advantage, they have target assets identified for very fast deployment ($25B list in $100B “buy box”, size range from $250M-$4B up to $10B+ per asset), largely initially targeting domestic market
- Structure: (i) 40% target leverage, (ii) BX parent co-investing $200M, (iii) 100bps mgmt fee paid on market cap (tiers down to 70bps as company grows), (iv) 25bps incentive fee on market cap subject to 8% annual return with high water mark; (v) IPO investors got 1% bonus shares from BX (to partly cover IPO fee drag) and all investors get 6 month fee holiday, (vi) externally managed, G&A at REIT level limited to public company costs, (vi) base mgmt fee tiers: 100bps (<$25B mkt cap), 90bps ($25-$50B), 80bps ($50-$75B), 70bps (>$75B)
- Lease structure: (i) triple-net (rent includes all property expenses incl. taxes, insurance, maintenance), (ii) 10-20 year lease terms with 2-3% contractual escalators, (iii) hyperscaler IG tenants (AMZN, META, GOOG, ORCL, MSFT) in Tier 1 markets; (iv) landlord provides land/space/power/cooling (1/3 of data center project capital) and tenant provides servers and software (2/3 of data center project capital)
- BX is largest data center investor and developer globally with $150B TEV and $160B of future development potential, QTS is already a 14x and on track to be BX’s biggest ever winner; some of these assets over time may end up in the REIT

Summary:

- Effectively a levered credit trade; triple-net leases are bond-like structured financing vehicles; the underlying hyperscaler credits are trading in the low 5s on 10yrs maturities and mid-high 5s for 20yr paper
- Simple REIT math: basically taking hyperscaler credit risk wider via buying at 5.75%-7.00% initial cap rates with contractual 2-3% rent bumps
- Why opportunity exists:
  - Market is currently in a building frenzy as capacity needs are enormous, vacancy is ~1% and development timeline continues to extend due to land / NIMBY issues, power / grid availability, component supply chain and labor/contractor shortages, etc.
  - Early innings of industry buildout and the absolute dollars necessary are enormous, there are not large enough core / stabilized pools of capital developed yet to be the effective long term holders / take out financing for these assets; eventually should grow into core holdings by funds, REITs, insurance companies, pensions, etc. similar to other CRE asset classes
  - Developers need someone to sell to so they can recycle capital at higher returns + hyperscalers have massive capex needs and higher returns on capital elsewhere
- First movers in REITs with the best cost of capital almost always win; as NAV goes up, cost of capital goes down and each acquisition becomes more accretive (quick math, every $1B additional equity can be >10% accretive in early ramp); is a repeat of Tower REIT playbook: AMT and CCI are $81B and $36B market caps, respectively; REIT investors will be all over this once M&A starts and will bid it up over time and fund follow-ons; should also be a good retail product given current yield and initial return of capital tax treatment
- BXDC has better growth, better credit and a higher cap rate vs. for example industrial REITs which trade at 4.9% cap rates (they own logistics / DC assets with shorter lease terms, multiple tenancy, global trade risk, and much higher capex)
- Risks: (i) triple net REITs have duration/rate risk and historically trade with long end of curve – mitigants: initial blind pool, matched financing and rent escalators, (ii)

this arb will close in time – mitigants: size and cost of capital advantages, (iii) externally management not ideal and initially viewed as more of a fund than a company – mitigants: fee structure is simple and reasonable and eventually management can be internalized, (iv) Blackstone will always look out for Blackstone and after 2 years exclusivity for this vehicle can change – mitigants: they are investing $200M, have name on door, this can be an enormous company and permanent capital fee stream for them

Upside/downside: (i) Base case: capital invested, moderate cap rate compression ~75bps, NAV up, flywheel starts, $26 stock, >20% total return (incl divs); (ii) Bull case: faster deployment, bigger deals, more accretive secondaries at higher NAV / lower cap rates, $31 stock, >40% total return; (iii) Bear case: collateral damage if AI trade craps out, capital deployed but cap rates widen out 100-150bps on owned assets, can't raise more equity, $17 stock, down high teens total return

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Catalyst

- BXDC invests the capital in as planned

- Accretive equity raised at accretive premiums to NAV

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Messages

No messages